

Participant Guidelines

Your team is required to perform an independent analysis of the case using the participant data pack. Your work should answer the following questions:

1. Identify the key red flags in the receipt, disbursement, authorization, documentation, beneficiary, and relationship data.
2. Reconcile the franchise fee obligations in the agreement population with the corresponding bank receipts and identify any relevant exceptions or investigation points.
3. Analyze the outgoing transactions and determine which transactions or transaction groups require heightened investigation. Explain the basis for your selection.
4. Trace relevant funds from the ESM bank accounts to the identified beneficiaries and, where sufficient information is available, assess the subsequent economic purpose or use of the funds.
5. Assess whether the supporting documentation is sufficient to substantiate the underlying business purpose and occurrence of the transactions.
6. Evaluate whether there are indicators of conflicts of interest, undisclosed related-party relationships, or misuse of delegated transaction authority.
7. Determine which matters are supported as legitimate, which indicate suspected fraud, and which remain unresolved based on the evidence available. Explain the evidentiary basis for each conclusion.
8. Identify the internal-control weaknesses that may have enabled the identified conditions.
9. Provide practical recommendations to management covering transaction authorization, segregation of duties, documentation, monitoring, vendor/counterparty management, and related-party controls.

Investigation Area

- Franchise fee entitlement
- Bank receipt reconciliation
- Investigative population
- Legitimate population
- Suspected misuse/fraud
- Unresolved population
- Mathematical tie-out

Fraud Case

1. Case Background

PT Everest Selera Muda (ESM) is a fictional Indonesian company operating a growing food and beverage franchise business. The company develops and manages franchise concepts, enters into franchise agreements with business partners, collects franchise fees, and provides a combination of brand, operating, training, and business-support services to franchisees. As the business has expanded, ESM has developed a centralized finance function responsible for cash management, payment processing, bank administration, and financial documentation.

ESM's revenue model includes upfront franchise fees agreed with franchise partners under individual franchise agreements. These agreements contain the commercial terms applicable to each franchise relationship, including the agreed fee, payment provisions, and the official banking information communicated to franchisees. The company maintains bank accounts used for its operating activities and records receipts and payments through its finance function.

During the period under review, ESM entered into a substantial number of franchise agreements with different business partners operating in several locations. The volume of transactions increased as the company expanded. With growth came a higher number of payment instructions, vendor relationships, account reconciliations, and internal approvals. Management therefore relied heavily on the finance function to ensure that incoming franchise proceeds were properly recorded, bank activity was appropriately monitored, and disbursements were supported by appropriate documentation.

The finance function also operates under delegated transaction authorities. Different transaction values require different combinations of maker, checker, and approver responsibilities. The structure is intended to provide control over the initiation, review, and approval of payments. However, the effectiveness of such a structure depends not only on whether an approval is present, but also on whether the transaction itself is properly supported, has a valid business purpose, and is consistent with the underlying contractual or operational activity.

In recent months, management has observed indications that cash resources may not be moving through the business in a manner that is fully consistent with expectations. The concern is not limited to a single payment or a single vendor. Instead, management believes there may be weaknesses in the way certain funds are directed, documented, approved, and subsequently accounted for. Some explanations for transactions appear reasonable at first glance, while other transactions require further corroboration before their legitimacy can be established.

The matter became significant enough for the President Director to request an investigative review. Management has not predetermined the cause, amount, or person responsible for the suspected leakage. The purpose of the investigation is to establish the facts objectively, reconstruct the relevant transaction flows, assess the supporting evidence, identify any control failures or conflicts of interest, and determine whether the circumstances indicate legitimate business activity, control deficiencies, unresolved matters, or suspected fraud.

You have been engaged as an investigation team to perform this review. You are expected to approach the case as an investigator rather than assume that any particular person, vendor, or transaction is fraudulent. The available information has been intentionally distributed across several datasets and supporting documents. Relevant facts may only become apparent when information from different sources is compared and connected.

2. Investigative Trigger

The President Director of ESM has requested an investigative review following concerns regarding possible leakage or misuse of company funds. Management's concern arose from observations in the finance and banking environment, including unusual payment patterns, inconsistencies in supporting documentation, and questions about whether certain disbursements were sufficiently connected to the company's underlying activities.

Management has not provided the investigation team with a predetermined fraud amount or a final conclusion. The investigation team must determine the significance of the identified transactions from the evidence available. You should therefore treat the initial management concern as an investigation trigger, not as an accusation against a particular individual or counterparty.

3. Organization and Relevant Functions

The following simplified structure is provided to help participants understand the principal functions involved in the investigation. It is not intended to represent the complete organizational chart.

Level	Role	General Responsibility
Mr. Saturn	President Director	Overall management, strategic oversight, and senior approval authority.
Mr. Uranus	Finance Head	Finance operations, cash management, payment processing, and financial control oversight.
Mrs. Venus	Franchise Manager	Franchise administration, partner coordination, and supporting franchise documentation.
Ms. Mercury	Finance Staff	Transaction processing, recording, and administrative finance activities.

Participants should use the separate user master and approval matrix to assess the detailed transaction authority applicable to individual payments.

4. Business and Transaction Environment

ESM receives franchise-related payments from business partners into its designated bank accounts. The company then uses its cash resources for a range of business activities, including franchise-related activities, procurement, services, operational expenses, and other payments approved through the finance function.

The investigation population contains a mixture of transactions. Some are supported by clear commercial documentation and may be consistent with ordinary business activity. Others may contain incomplete documentation, unusual descriptions, uncommon beneficiaries, or relationships that warrant additional investigation. The presence of an approval record should not, by itself, be treated as evidence that the underlying transaction is legitimate.

The datasets have been designed so that the most relevant findings are not necessarily visible from a single column or a single file. Participants should compare dates, amounts, references, beneficiary details, bank accounts, user IDs, contractual information, and supporting documents. Where appropriate, participants should aggregate transactions or trace relationships across datasets rather than review transactions only on a one-by-one basis.

5. Information and Evidence Provided

The participant data pack contains multiple sources that should be analyzed together. The package includes, among others:

- **Franchise agreement and franchise register data;**
- **ESM incoming bank transaction data;**
- **ESM outgoing bank transaction data;**
- **Focused information relating to selected counterparties and payment flows, where applicable;**
- **Master party and vendor information;**
- **User and transaction approval information;**
- **Selected supporting documents such as contracts, invoices, purchase orders, work or delivery documentation, and payment-related records;**
- **Corporate information relating to relevant external counterparties.**

The existence of a document does not automatically establish that the underlying transaction is valid. Participants are expected to consider the quality, consistency, timing, authorization, and substance of the evidence.

6. Required Investigation Work

Your team is required to perform an independent analysis of the case using the participant data pack. Your work should answer the following questions:

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7. Determine which matters are supported as legitimate, which indicate suspected fraud, and which remain unresolved based on the evidence available. Explain the evidentiary basis for each conclusion.
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7. Expected Participant Deliverables

Deliverable	Minimum Content	Focus
Red Flag Analysis	Key red flags, evidence, and rationale.	Identification and analysis
Transaction Analysis	Prioritized transactions or transaction groups and supporting calculations.	Data analysis / tracing
Evidence Assessment	Assessment of whether supporting evidence is sufficient and consistent.	Evidence evaluation
Conclusion	Clear conclusion distinguishing suspected fraud, legitimate activity, and unresolved matters.	Professional judgment
Recommendations	Control and process recommendations addressing root causes and recurrence.	Remediation

8. Investigation Approach

- Do not assume that a high-value transaction is fraudulent merely because of its size.
- Do not assume that an approved transaction is legitimate merely because an approval record exists.
- Do not conclude that a counterparty is related to ESM personnel based only on one matching data point. Consider the totality of the evidence.
- Where evidence is incomplete, distinguish an unresolved matter from a proven fraud conclusion.
- Maintain an evidence-based audit trail showing how each conclusion was derived from the data and documents provided.

Additional Participant Supporting Data Pack

Purpose of this pack

This document provides additional factual records that participants may use together with the core case workbook. The documents are intended to support transaction tracing, authorization testing, vendor analysis, and evidence evaluation. No conclusion of fraud or legitimacy is stated in this pack.

1. Selected Actual Supporting Evidence

The following evidence files are available as separate exhibits in the participant evidence folder. The index intentionally includes both complete and incomplete documentation so that participants must evaluate sufficiency rather than assume completeness.

Evidence ID	Minimum Content	Evidence Type	Primary Use	Availability
EV-01	Selected Franchise Agreement Extracts	Franchise agreements	Agreement ID, fee amount, payment terms	Complete for selected agreements
EV-02	Selected ESM Receipt Confirmations	Bank receipt evidence	ESM incoming transaction / franchise reference	Complete for selected receipts
EV-03	Selected Payment Requests	Payment requests / vouchers	ESM outgoing transactions	Selected transactions; some lack full supporting basis
EV-04	Legitimate Service / Procurement Package	Contract, PO/SPK, invoice, BA, acceptance	Selected legitimate transactions	Substantively complete
EV-05	Partial Vendor Evidence Package A	Invoice and limited transaction documents	Selected outgoing transactions	Partial
EV-06	Partial Vendor Evidence Package B	Invoice, photographs / delivery note	Selected outgoing transactions	Partial
EV-07	RNS Corporate Profile	Corporate registration / company profile	PT Rinjani Niaga Sentosa	Available
EV-08	Uranus Personnel Profile	Employee profile and contact information	Mr Uranus	Available

2. Vendor Onboarding / Vendor Master Evidence

These records represent information maintained in the company vendor database. They should be used to compare the bank beneficiary, vendor identity, registered address, responsible contact, and onboarding status.

Vendor ID	Legal Name	Status	Onboarding Date	Registered Activity	Registered Address	Responsible Function
VND-001	PT Laut Banda Pangan	Active	15-Mar-2022	Procurement / food ingredients	Jakarta	Vendor Management
VND-002	PT Laut Jawa Kemasan	Active	08-Apr-2022	Packaging procurement	Bekasi	Vendor Management
PTY-RNS	PT Rinjani Niaga Sentosa	Active	15-Mar-2022	Management consulting / general trade	Kompleks Arunika Blok R 11, Jakarta	Finance Administration
VND-003	PT Laut Flores Teknologi	Active	10-May-2022	Technology services	Tangerang	Procurement
VND-006	PT Laut Timor Properti	Active	17-Aug-2022	Property / asset counterparty	Jakarta	Finance Administration

Vendor onboarding documents maintained by the company may include: legal registration documents, tax registration, bank account details, vendor questionnaire, approval record, and designated contact information.

3. Bank Account Registration and Change Log

This extract records selected beneficiary bank-account setup and changes. It is intended to support testing of whether transaction destinations were appropriately registered and authorized.

Log ID	Beneficiary	Registered Account	Bank	Change Type	Effective Date	Prepared By	Reviewed / Approved By Function	Status
BA-001	PT Laut Banda Pangan	VND-BD-01	Bank Samudra	Initial registration	18-Mar-2022	Vendor Management	Finance Review	Completed
BA-002	PT Laut Jawa Kemasan	VND-KM-01	Bank Samudra	Initial registration	08-Apr-2022	Vendor Management	Finance Review	Completed
BA-003	PT Rinjani Niaga Sentosa	RNS-BR-01	Bank Rinjani	Initial registration	21-Mar-2022	Finance	Finance Head	Completed
BA-004	PT Laut Timor Properti	PROP-001	Bank Cakra	Initial registration	17-Aug-2022	Procurement	Finance Head	Completed

3. Bank Account Registration and Change Log

Log ID	Beneficiary	Registered Account	Bank	Change Type	Effective Date	Prepared By	Reviewed / Approved By Function	Status
BA-005	PT Laut Flores Teknologi	VND-TI-01	Bank Nusantara	Account detail update	04-Jan-2024	Finance	Finance Head	Completed
BA-006	PT Laut Maluku Proyek	VND-PJ-01	Bank Cakra	Initial registration	11-Feb-2023	Procurement	Finance Review	Completed

Note: The change log is an extract rather than the complete company bank-account master. Participants should compare it with the transaction ledger and supporting documents.